24VECV06155 24VECV06155

County: los-angeles

Division: Civil Law and Motion

Department: NWI

Hearing date: 2026-09-01

Motion: MOTION FOR JUDGMENT ON THE PLEADINGS

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Case Number: 24VECV06155 Hearing Date: September 1, 2026 Dept: NWI

SUPERIOR

COURT OF THE STATE OF CALIFORNIA

COUNTY

OF LOS ANGELES

STEVEN

LLOYD,

Plaintiff,

vs.

FORD MOTOR COMPANY, et al.

Defendants.

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CASE
NO: 24VECV06155

[TENTATIVE]
ORDER RE: MOTION FOR JUDGMENT ON THE PLEADINGS

Dept.
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HEARING
DATE: September 1, 2026

TIME: 8:30 A.M.

COMPLAINT
FILED: December 10, 2024

TRIAL
DATE: December 14, 2026

I.
BACKGROUND

This is a lemon law action arising out of Plaintiff Steven Lloyd’s (“Plaintiff”) purchase of a 2022 Ford Maverick, VIN: 3FTTW8E37NRA39091 (the “Subject Vehicle”), which was manufactured by Defendant Ford Motor Company (“FMC”) and repaired by Defendant Sunrise Ford of North Hollywood (“Sunrise Ford”).

On December 10, 2024, Plaintiff filed a Complaint against FMC, Sunrise Ford, and DOES 1 through 10 (collectively, “Defendants”), alleging causes of action for: (1) Violation of Civil Code Section 1793.2(d); (2) Violation of Civil Code Section 1793.2(b); (3) Violation of Civil Code Section 1793.2(a)(3); (4) Breach of the Implied Warranty of Merchantability; (5) Negligent Repair; and (6) Fraudulent Inducement – Concealment. On March 18, 2025, Plaintiff filed a First Amended Complaint (“FAC”) against Defendants.

On April 21, 2025, FMC filed a Demurrer to the FAC. The matter was fully briefed and came for hearing on July 8, 2025; the demurrer was sustained as to the sixth cause of action with 20 days leave to amend.

On July 29, 2025, Plaintiff filed the operative Second Amended Complaint (“SAC”) against Defendants. On November 10, 2025, FMC and Sunrise Ford (jointly, “Ford”) filed an Answer to the SAC.

On July 24, 2026, Ford filed the instant Motion for Judgment on the Pleadings. On August 19, 2026, Plaintiff filed an Opposition. On August 25, 2026, Ford filed a Reply.

II.
LEGAL
STANDARD

A defendant may move for judgment on the pleadings on the grounds that: (1) the court has no jurisdiction of the subject of the cause of action alleged in the complaint; or (2) the complaint does not state facts sufficient to constitute a cause of action against that defendant. (Code Civ. Proc. § 438, subd. (c)(1)(B).)¿

The
standard for ruling on a motion for judgment on the pleadings is essentially the same as that applicable to a general demurrer, that is, under the state of the pleadings, together with matters that may be judicially noticed, it appears that a party is entitled to judgment as a matter of law. (Bezirdjian v. O'Reilly (2010) 183 Cal.App.4th 316, 321-322 [citing Schabarum v. California Legislature (1998) 60 Cal.App.4th 1205, 1216].)¿Any defects must either appear on the face of the pleading, or else be taken by judicial notice. (Id. at 321-22.) The parties' ability to prove their respective claims is of no concern. (Cloud, supra, 67 Cal.App.4th 995 at 999.) Though the Court must accept the allegations of the complaint and answer as true (Gerawan Farming, Inc. v. Lyons (2000) 24 Cal.4th 468, 515), it will not do so for "conclusions of law or fact, opinions, speculation, or allegations contrary to law or [judicially noticed] facts…." (Stevenson Real Estate Servs., Inc. v. CB Richard Ellis Real Estate Servs., Inc. (2006) 138 Cal.App.4th 1215, 1219–20.)¿¿

"On
a motion for judgment on the pleadings, leave to amend should be granted if there is any reasonable possibility that the plaintiff can state a good cause of action." (Lowry v. Port San Luis Harbor Dist. (2020) 56 Cal.App.5th 211, 221 [internal quotations omitted].) "The burden of proving such reasonable possibility is squarely on the plaintiff." (Id.)

III.
DISCUSSION

Meet and Confer

Before filing a judgment
on the pleadings pursuant to this chapter, the moving party shall meet and confer in person, by telephone, or by videoconference with the party who filed the pleading that is subject to the motion for judgment on the pleadings for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the motion for judgment on the pleadings..." (Code Civ. Proc., § 439, subd. (a).)

Ford's
counsel of record, Chen Fei Liu, attests to the following meet and confer efforts:

“On July 15, 2026, counsel for Defendants met and conferred with Plaintiff’s counsel, Jacob Lister of Strategic Legal Practices, APC, via video conferencing regarding Defendants’ intended Motion, including the specific grounds for the Motion. The parties were not able to informally resolve the issues relating to the deficiencies in each of the causes of action asserted in the Second Amended Complaint, thereby necessitating Defendants’ Motion.” (Liu Decl., ¶3.) Thus, the Court finds that Ford fulfilled their meet and confer obligation.

Motion for Judgment on the Pleadings

Ford moves for judgment the fifth cause of action for Negligent Repair and sixth cause of action for Fraudulent Inducement – Concealment alleged against them in the SAC. The motion is made on the grounds that: (1) the Negligent Repair claim is barred by the economic loss rule; and (2) the Fraudulent Inducement claim is not plead with the requisite specificity.

Fifth Cause of Action for Negligent Repair

To state a cause of action for negligence, a plaintiff must allege (1) the defendant owed the plaintiff a duty of care, (2) the defendant breached that duty, and (3) the breach proximately caused the plaintiff's damages or injuries.” (Lueras v. BAC Home Loans Servicing, LP (2013) 221 Cal.App.4th 49, 62.) Generally, “[e]ven in actions for negligence, a manufacturer’s liability is limited to damages for physical injuries and there is no recovery for economic loss alone.” (Seely v. White Motor Co. (1965) 63 Cal.2d 9, 18; see also North American Chemical Co. v. Superior Court (1997) 59 Cal.App.4th 764, 780 [“in actions arising from the sale or purchase of a defective product, plaintiffs seeking economic losses must be able to demonstrate that either physical damage to property (other than the defective product itself) or personal injury accompanied such losses; if they cannot, then they would be precluded from any tort recovery in strict liability or negligence. However, such authorities would seem to have little or no application when the commercial relationship of the parties does not involve the sale of goods or products, nor the rules developed under the law merchant and the Uniform Commercial Code, but rather relates only to the performance of services"].)

Essentially, under the economic loss rule, "[w]here a purchaser's expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only 'economic' losses." (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988 (Robinson), quotation marks omitted.)

The SAC alleges, inter alia, that Plaintiff delivered the Subject Vehicle to Sunrise Ford for substantial repair on at least one occasion. (SAC, ¶53.) Sunrise Ford owed a duty to Plaintiff to use ordinary skill in storing, preparing, and repairing the Subject Vehicle in accordance with industry standards. (Id., ¶54.) Sunrise Ford breached its duty by failing to properly store, prepare, and repair the Subject vehicle in accordance with industry standards. (Id., ¶55.) Sunrise Ford's breach with the proximate cause of Plaintiff's damages. (Id., ¶56.)

Although Ford contends that all of Sunrise Ford's work on the Subject Vehicle was pursuant to the warranty, this fact does not appear on the face of the SAC including the warranty contract incorporated by reference and attachment to the pleading. (SAC, Ex. A.) Essentially, these are separate allegations against a defendant, i.e., Sunrise Ford, who is not a party to Plaintiff's warranty contract with FMC.

Accordingly, the economic loss rule does not bar Plaintiff's negligent repair claim.

Sixth
Cause of Action for Fraudulent Inducement – Concealment

Fraud based on concealment requires that "(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 310-311 (Bigler-Engler).)

An essential element of intentional concealment includes the duty to disclose, which must be based upon a transaction, or a special relationship, between plaintiff and defendant. (Id. at p. 314.) “There are ‘four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.’” (Id. at p. 311.) “[O]ther than the first instance, in which there must be a fiduciary relationship between the parties, ‘the other three circumstances in which nondisclosure may be actionable presuppose[ ] the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. . . . “[W]here material facts are known to one party and not to the other, failure to disclose them is not actionable fraud unless there is some relationship between the parties which gives rise to a duty to disclose such known facts.” [Citation.]’ [Citation.]” (Hoffman v. 162 North Wolfe LLC (2014) 228 Cal.App.4th 1178, 1187 (Hoffman).) “Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party.” (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1256, 1384.)

The SAC alleges, inter alia, that the Subject Vehicle suffered from one or more defects that can result in the loss of power, stalling, engine running rough, engine misfires, failure or replacement of the engine (“Engine Defect”). (SAC, ¶59.) FMC knew about the Engine Defect before Plaintiffs’ purchased the vehicle. (Id., ¶¶63, 65, 68-69, 74, 78.) Because of the Engine Defect, “Plaintiffs suffered an ascertainable loss of money, property, and value to the Subject Vehicle, which is de minimis. Additionally, as a result of the Engine Defect, Plaintiffs were harmed and suffered actual damages in that the Subject Vehicle’s engine is substantially certain to fail before its expected useful life has run." (Id., ¶67.) Plaintiffs did not know about these defects at the time of sale, and FMC, who had superior knowledge of the Engine Defect, did not disclose the defects when Plaintiff purchased the vehicle. (Id., ¶¶58, 63-65, 68-75.) Had Plaintiffs known about the Engine Defect they would not have purchased the vehicle. (Id., ¶66.) The allegations are specific enough to allege the information that was concealed and the danger posed. (See Jones v. ConocoPhillips Co. (2011) 198 Cal.App.4th 1187, 1199-1200.)

Likewise, Plaintiff does allege facts showing the existence of a relationship between the parties that gives rise to a duty to disclose facts. (See Hoffman, supra, 228 Cal.App.4th at p. 1187.) The Bigler-Engler Court explained that a duty to disclose facts "arises only when the parties are in a relationship that gives rise to the duty, such as '"seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement"' [Citation]" and, in the absence of a fiduciary relationship, a fraudulent omission case may be grounded on one party's exclusive knowledge of material facts, active concealment of material facts or suppression of material facts in the context of a partial disclosure, but only where the parties share some sort of relationship in which a duty to disclose may arise. (Bigler-Engler, supra, 7 Cal.App.5th at p. 311 [citing to Shin v. Kong (2000) 80 Cal.App.4th 498, 509].) Furthermore, in Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 844, the Dhital court found allegations that the manufacturer's dealership was its agent for purposes of the sale were sufficient to support a duty to disclose.

Specifically, the SAC alleges that Plaintiff purchased the Subject Vehicle from FMC's authorized retail dealer Galpin Motors Inc. ("Galpin"). (SAC, ¶9; cf. Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1342–1343 ["There are no allegations to support the conclusion that the dealers acted as FMC's agent in executing the sale contracts"].) The SAC also alleges that FMC's authorized retail dealerships, including Galpin convey information form FMC's to prospective purchasers including Plaintiff, using methods that FMC directs such as marketing brochures and floor displays. (SAC, ¶10.) The SAC further alleges that prior to purchasing the Subject Vehicle, Plaintiff reviewed FMC's marketing and advertising materials, viewed FMC's vehicle-specific window sticker, conferred with sales representatives, and took the Subject Vehicle for a test drive but at no point was he advised the Subject vehicle and the 2.5L engine were defective. (Id., ¶14.)

Accordingly, Plaintiff sufficiently pleads a claim for fraudulent inducement-concealment with the requisite particularity.

IV. CONCLUSION

Based on the foregoing, Defendants Ford Motor Company and Sunrise Ford of North Hollywood's Motion for Judgment on the Pleadings is DENIED as to the fifth cause of action for Negligent Repair and sixth cause of action for Fraudulent Inducement – Concealment.

Defendants to give notice.

Dated: September 1, 2026

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Hon. Karen Moskowitz

Judge of the Superior Court